

Nvidia's nightmare: \$2.5 billion worth of AI servers smuggled into China

Months after trying to convince the Trump administration to reauthorize the sale of AI chips to China, Jensen Huang finds himself at the center of a massive smuggling scandal.

US indictments reveal a network of shell companies, forged documents and "dummy servers" designed to conceal the transfer of advanced AI systems to China

15 comments

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China chip Nvidia Artificial Intelligence Tags

against the US administration and President Trump to approve the sale of AI [campaigned](#) Months after he CEO Jensen Huang also joins the concern about their illegal leakage to [Nvidia](#) chips to the Chinese – China.

During his visit to Taipei, the capital of Taiwan, Jensen called on American server manufacturer Super Micro Computer (SuperMicro) to "strengthen its export compliance controls." This was after one of the company's founders, Ye-Xian "Wally" Liu, and two other executives were charged in the US with conspiring to smuggle servers equipped with advanced Nvidia chips to China through shell companies in Southeast Asia. The deal is worth about \$2.5 billion.



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)Photo: Bridget Bennett/Bloomberg(Nvidia CEO Jensen Huang

To fool customs inspectors and the U.S. Department of Export Control, the suspects allegedly also forged documents, even setting up entire warehouses with empty "dummy servers" to pass inventory checks.

They even used hair dryers to remove and re-apply serial labels on boxes to hide the real destination – China.

A big embarrassment for Nvidia

The affair caused great embarrassment for Nvidia, mainly due to its close strategic partnership with SuperMicro and the close ties between the company's founder, CEO, and president, Charles Liang, and Jensen Huang himself.

A group of senators even called on the administration to take immediate steps to stop the sale and export of Nvidia processors and server systems to China and East Asian countries. In a letter to US Commerce Secretary Howard Lutnick, they questioned Nvidia's claims that it was unaware that the processors and servers were being secretly shipped to China. Supermicro was quick to announce that it was cooperating fully with US authorities and that it itself was not the target of the investigation.

In recent years, with the tremendous surge in artificial intelligence, SuperMicro has become one of the most talked-about and central players in the hardware world. Among other things, it purchases processors from companies like Nvidia, Intel, and AMD, and assembles them into powerful AI servers.

The company often gets early access and fast delivery of the most sought-after AI chips on the market, giving it a huge competitive advantage over competitors like Dell or HP. It is also considered a leader in the development of liquid cooling systems, which allow data centers to save energy and operate with high efficiency.



)Reuters(SuperMicro Company

Huang told reporters at Songshan Airport that Nvidia insists its partners comply with U.S. trade rules. “We hope they will improve and enhance their regulatory resilience and prevent this from happening in the future,” he said.

Huang’s comments came days after Taiwan announced its first official crackdown on illegal exports of artificial intelligence chips, raiding 12 suspected sites. The Keelung District Prosecutor’s Office said earlier this week that three suspects had been arrested after submitting false shipping declarations to export SuperMicro servers containing Nvidia AI chips to China, Hong Kong and Macau.

The Nvidia founder confirmed, however, that China will be among the markets targeted by Nvidia’s upcoming Vera processor, estimated to be worth around \$200 billion. “It would be great to serve that market,” Huang told reporters. “The Chinese market is very big and important.”